

Alpha FMC Group Limited

Annual report and financial statements

Registered number 08506571

31 March 2021



Contents

Company information	1
Directors' report	2
Statement of Directors' responsibilities in respect of the Directors' report and the financial statements	3
Independent auditor's report to the members of Alpha FMC Group Limited	4
Profit and loss account	6
Balance sheet	7
Statement of changes in equity	8
Notes	9

Company Information

Directors	ENB Fraser JC Paton
Company number	08506571
Registered office	60 Gresham Street London EC2V 7BB
Auditor	KPMG LLP St Nicholas House 31 Park Row Nottingham NG1 6FQ

Directors' report

The Directors present their report and the audited financial statements for the year ended 31 March 2021 (FY 21¹).

Principal activities

The principal activity of the Company is that of a holding company.

Results and dividend

The results for the year are set out in the attached profit and loss account.

A dividend payment totalling £6,000,000 was made to the Company's sole shareholder, Alpha FMC Group Holdings Limited (FY 20: £7,187,000), to facilitate the payment of the Group² dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting Plc, to its shareholders. This dividend was facilitated by the receipt in the year of a dividend totalling £6,000,000 from the Company's directly owned subsidiary, Alpha Financial Markets Consulting Group Limited. The Directors have not recommended the payment of a final dividend (FY 20: £nil).

Directors

The Directors who held office during the year were as follows:

ENB Fraser
JC Paton

Political contributions

The Company made no political donations and incurred no political expenditure during the year.

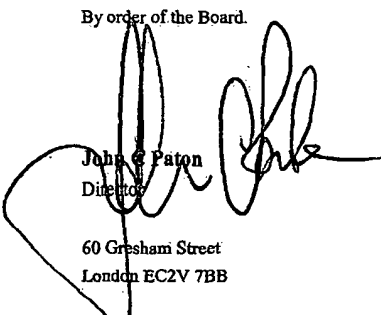
Disclosure of information to auditor

The Directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditor is unaware; and each Director has taken all the steps that they ought to have taken as a Director to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the Board.



John C Paton
Director

60 Gresham Street
London EC2V 7BB

13 December 2021

¹ FY 21 is the financial year covering the 12 months to 31 March 2021. By comparison, FY 20 is the previous financial year covering the 12 months to 31 March 2020.

² Group refers to the Company's ultimate parent, Alpha Financial Markets Consulting plc and its subsidiaries.

Statement of Directors' responsibilities in respect of the Directors' report and the financial statements

The Directors are responsible for preparing the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 Reduced Disclosure Framework.

Under company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the Directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations or have no realistic alternative but to do so.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

Independent auditor's report to the members of Alpha FMC Group Limited

Opinion

We have audited the financial statements of Alpha FMC Group Limited ("the Company") for the year ended 31 March 2021 which comprise the profit and loss account, balance sheet, statement of changes in equity and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 March 2021 and of its profit for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 101 Reduced Disclosure Framework; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The Directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Company or to cease its operations, and as they have concluded that the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the Directors' conclusions, we considered the inherent risks to the Company's business model and analysed how those risks might affect the Company's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified, and concur with the Directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included enquiring of Directors and inspection of policy documentation as to the Alpha Financial Markets Consulting Plc's policies and procedures to prevent and detect fraud that apply to this group company as well as enquiring whether the directors have knowledge of any actual, suspected or alleged fraud.

As required by auditing standards, we perform procedures to address the risk of management override of controls, in particular the risk that management may be in a position to make inappropriate accounting entries. On this audit we do not believe there is a fraud risk related to revenue recognition because there are no revenue transactions. We did not identify any additional fraud risks.

We performed procedures including agreeing all accounting entries in the period to supporting documentation.

Identifying and responding to risks of material misstatement due to non-compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience and through discussion with the Directors (as required by auditing standards), and discussed with the Directors the policies and procedures regarding compliance with laws and regulations.

The Company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation and taxation legislation and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

This Company, as a holding company, is not subject to other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements.

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Directors' report

The Directors are responsible for the Directors' report. Our opinion on the financial statements does not cover that report and we do not express an audit opinion thereon.

Our responsibility is to read the Directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the Directors' report;
- in our opinion the information given in that report for the financial year is consistent with the financial statements; and
- in our opinion that report has been prepared in accordance with the Companies Act 2006.

Independent auditor's report to the members of Alpha FMC Group Limited (continued)

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit; or
- the Directors were not entitled to take advantage of the small companies exemption from the requirement to prepare a Strategic report.

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in their statement set out on page 3, the Directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

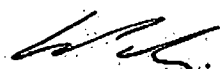
Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



Craig Parkin (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor

Chartered Accountants
St Nicholas House
31 Park Row
Nottingham
NG1 6FQ

13 December 2021

Profit & loss account
for the year ended 31 March 2021

	Note	Year ended 31 March 2021 £000	Year ended 31 March 2020 £000
Administrative expenses		-	-
Operating profit		-	-
Income from shares in Group undertakings	5	6,000	7,187
Profit before taxation		6,000	7,187
Taxation	6	-	-
Profit for the financial year		6,000	7,187

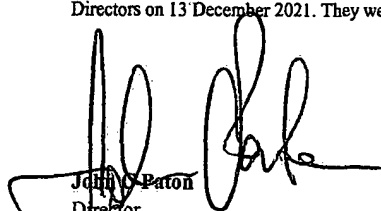
In both the current and preceding year, the Company made no acquisitions and had no discontinued operations.

There were no recognised gains or losses in either the current or preceding year other than those disclosed in the profit and loss account, and therefore no separate statement of other comprehensive income has been presented.

Balance sheet
As at 31 March 2021

	Note	As at 31 March 2021 £000	As at 31 March 2020 £000
Non-current assets			
Investments	7	33,752	33,752
Amounts owed by Group undertakings	8	33,312	27,312
		<u>67,064</u>	<u>61,064</u>
Current assets			
Debtors	8	1,183	1,183
		<u>1,183</u>	<u>1,183</u>
Current liabilities:			
Creditors: amounts falling due within one year	9	(68,244)	(62,244)
		<u>(68,244)</u>	<u>(62,244)</u>
Net current liabilities		<u>(67,061)</u>	<u>(61,061)</u>
Net assets		<u>3</u>	<u>3</u>
Capital and reserves			
Called up share capital	10	-	-
Profit and loss account		3	3
Shareholders' funds		<u>3</u>	<u>3</u>

The notes on pages 9-14 form part of these financial statements. These financial statements were approved and authorised for issue by the Board of Directors on 13 December 2021. They were signed on its behalf by:


John O. Paton
Director
Company registered number: 08506571

Statement of changes in equity

	Called up share capital £000	Profit and loss account £000	Total shareholders' funds £000
As at 1 April 2019	-	3	3
Total comprehensive income for the period			
Profit for the period	-	7,187	7,187
Transactions with owners, recorded directly in equity			
Dividends	-	(7,187)	(7,187)
As at 31 March 2020	-	3	3
Total comprehensive income for the period			
Profit for the period	-	6,000	6,000
Transactions with owners			
Dividends	-	(6,000)	(6,000)
As at 31 March 2021	-	3	3

Notes

(forming part of the financial statements)

1 Accounting policies

Alpha FMC Group Limited (the "Company") is a Company limited by shares, domiciled and registered in the UK. The registered number is 08506571 and the registered address is 60 Gresham Street, London, EC2V 7BB.

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101").

The Company is exempt by virtue of Section 400 of the Companies Act 2006 from the requirement to prepare Group financial statements. These financial statements present information about the Company as an individual and not about its Group. Further, in accordance with Section 414A(2) of the Companies Act 2006, the Company has taken the exemption from preparing a strategic report.

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards ("Adopted IFRSs"), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

The Company's ultimate parent undertaking, Alpha Financial Markets Consulting Plc, includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha Financial Markets Consulting Plc are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB, or the website investors.alphafmc.com.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- a cash flow statement and related notes;
- comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- disclosures in respect of transactions with wholly owned subsidiaries;
- disclosures in respect of capital management;
- the effects of new but not yet effective IFRSs;
- disclosures in respect of the compensation of Key Management Personnel; and
- disclosures of transactions with a management entity that provides key management personnel services to the Company.

As the consolidated financial statements of Alpha Financial Markets Consulting Plc include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- IFRS 2 Share-Based Payments in respect of group settled share-based payments; and
- Certain disclosures required by IFRS 16 Leases in relation to disclosure of the Company's leasing activities.
- Certain disclosures required by IFRS 3 Business Combinations in respect of business combinations undertaken by the Company.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

There are no judgements made by the Directors, in the application of these accounting policies that have significant effect on the financial statements and estimates with a significant risk of material adjustment in the next year.

1.1 Basis of preparation

These financial statements have been prepared under the historical cost basis, except for certain financial instruments that are measured at fair value.

The presentational currency of these financial statements and the functional currency of the Company is pounds sterling. All amounts in these financial statements have been rounded to the nearest £1,000, unless stated otherwise.

1.2 Going concern

Notwithstanding net current liabilities of £67,061,000 as at 31 March 2021 the financial statements have been prepared on a going concern basis which the Directors consider to be appropriate for the following reasons.

The Directors have prepared cash flow forecasts for a period of at least 12 months from the date of approval of these financial statements which indicate that, taking account of reasonably possible downsides, the Company will have sufficient funds, to meet its liabilities as they fall due for that period.

Those forecasts are dependent on the Company's ultimate parent company, Alpha Financial Markets Consulting Plc not seeking repayment of the amounts currently due to the other companies controlled by the group, which at 31 March 2021 amounted to £68,244,000. Alpha Financial Markets Consulting Plc has indicated that it does not intend to seek repayment of these amounts for the period covered by the forecasts. The Company also has access to additional funding through other Group entities, via the Group's revolving credit facility, which remains undrawn at the date of approval of these financial statements, and the strength of the Group's cash position at 31 March 2021. As with any company placing reliance on other group entities for financial support, the Directors acknowledge that there can be no certainty that this support will continue although, at the date of approval of these financial statements, they have no reason to believe that it will not do so.

Consequently, the Directors are confident that the Company will have sufficient funds to continue to meet its liabilities as they fall due for at least 12 months from the date of approval of the financial statements and therefore have prepared the financial statements on a going concern basis.

1.3 Foreign currency

Transactions in foreign currencies are translated to the Company's functional currencies at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. Non-monetary assets and liabilities denominated in foreign currencies that are stated at fair value are retranslated to the functional currency at foreign exchange rates ruling at the dates the fair value was determined. Foreign exchange differences arising on translation are recognised in the profit and loss.

Notes (continued)

1 Accounting policies (continued)

1.4 Financial instruments

The Company uses financial instruments comprising intercompany receivables and payables arising from financing activities across the wider Alpha Group. The main purpose of these financial instruments is to fund the Group's business strategy and working capital requirements.

Accounting policies in respect of financial instruments are outlined below.

Financial assets

Financial assets are initially measured at fair value plus or minus, in the case of a financial asset not at fair value through profit or loss, transaction costs. The Company has not reclassified any financial assets subsequent to initial recognition as at the balance sheet date. Reclassification of classes of financial assets is accounted for prospectively in accordance with IFRS 9, where this is required. Any difference on reclassification from amortised cost to fair value through profit or loss is recognised in the profit and loss at the reclassification date.

Financial assets are assessed at each reporting date to determine a lifetime expected credit loss that reflects the credit risk associated with the portfolio of assets. A financial asset is impaired in line with the simplified approach under IFRS 9 which uses a lifetime expected loss allowance.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment, impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impairment asset continues to be recognised through the unwinding of the discount. Impairment losses are recognised in profit or loss. When a subsequent event causes the amount of the impairment to decrease, the decrease in impairment loss is reversed through statement of comprehensive income.

Amounts owed by Group undertakings

Amounts owed by Group undertakings are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of intercompany receivables is established using an expected credit loss model. The Group classifies all intercompany receivables that form a part of the normal trading cycle of the Group as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets. This represents a change in accounting policy in the year. All balances were considered current in the comparative period.

Other debtors

Other debtors are recognised initially at fair value. Subsequent to initial recognition they are measured at amortised cost using the effective interest method.

Financial liabilities

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. This category includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. As at 31 March 2021, the Company had no such financial liabilities.

Other financial liabilities held by the Group are recognised at amortised cost.

Amounts owed to Group undertakings

Amounts owed to Group undertakings are recognised initially at fair value and subsequently measured at amortised cost.

Investments in subsidiaries

Investments in subsidiaries are stated at cost less any provision for impairment. The Company monitor for indicators of impairment at each reporting period, and a full impairment assessment is performed on an annual basis.

The Directors have deemed that no impairment was required in both the current and prior years.

1.5 Impairment (non-financial assets)

The carrying amounts of the entity's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the assets' recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit ("CGU") is the greater of its value in use and its fair value, less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

For the purposes of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates independent cash inflows (the "cash-generating unit"); that is, cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets.

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses are allocated between the carrying amounts of assets in the unit (or group of units) on a pro-rata basis as a reduction in the value of the asset.

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior periods are assessed at each reporting date for any indication that the loss has decreased or no longer exists. An impairment loss is only reversed to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

1.6 Provisions

A provision is recognised in the balance sheet when the Company has a present legal or constructive obligation as a result of a past event, that can be reliably measured and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects risks specific to the liability.

Notes (continued)

1 Accounting policies (continued)

1.7 Taxation

Tax on the profit or loss for the year comprises current and deferred tax. Tax is recognised in the profit and loss account except to the extent that it relates to items recognised directly in equity or other comprehensive income, in which case it is recognised directly in equity or other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous years.

Deferred tax is provided using the balance sheet liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

The carrying amount of deferred tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities, and when they relate to income taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

1.8 Dividends

Dividend income

Dividend income is recognised in the profit and loss account on the date the entity's right to receive the dividend is established.

Dividend expense

Dividend expenses are recognised in the statement of changes in equity on the date the entity's right to pay the dividend is established.

1.9 New accounting standards and interpretations

The following changes in accounting policies were applied by the Company in these financial statements for the year ended 31 March 2021. These included the adoption of new standards and interpretations described below.

The International Accounting Standards Board (IASB) and IFRS Interpretations Committee (IFRIC) have issued the following standards and interpretations which are now effective:

- IFRS 9 Financial Instruments with IFRS 4 Insurance Contracts (Amendments to IFRS 4);
- Amendments to References to the Conceptual Framework in IFRS Standards;
- Definition of a Business (Amendments to IFRS 3);
- Definition of material (Amendments to IAS 1 and IAS 8); and
- Interest Rate Benchmark Reform (Amendments to IFRS 9, IAS 39 and IFRS 7).

The following amendments to existing standards have been issued and became effective in the year as a response to the COVID-19 pandemic:

- Covid-19-Related Rent Concessions (Amendment to IFRS 16), effective from 1 June 2020 and endorsed by the UK on 9 October 2020.

The Directors reviewed the nature and effect of these new standards on the Company and noted no material impact on the financial statements for the year ended 31 March 2021.

The Directors have considered new standards and interpretations that have been issued but not yet been effective, however have applied the exemption not to disclose this information under FRS 101.

2 Auditor's remuneration

Auditor's remuneration:

	FY 21 £000	FY 20 £000
Audit of these financial statements	2	2

Amounts receivable by the Company's auditor and its associates in respect of services to the Company and its associates, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis in the consolidated financial statements of the Company's ultimate parent, Alpha Financial Markets Consulting Plc.

3 Staff numbers and costs

The Company had no employees during the current or prior periods.

4 Directors' remuneration

The Directors of the Company are paid out of other entities within the Group. The Directors believe that the value of their services in respect of the Company, in both the current and prior periods, were negligible and therefore, have not been disclosed.

5 Income from shares in Group undertakings

	FY 21 £000	FY 20 £000
Dividend income	6,000	7,187

Notes (continued)

6 Taxation

Recognised in the profit and loss account

	FY 21		FY 20	
	£000	£000	£000	£000
<i>Current tax</i>				
Current tax on income for the period		-		-
Adjustments in respect of prior periods		-		-
		<u>-</u>		<u>-</u>
Total current tax		-		-
<i>Deferred tax</i>				
Adjustments in respect of prior periods	-		-	
	<u>-</u>		<u>-</u>	
		<u>-</u>		<u>-</u>
		<u>-</u>		<u>-</u>

Reconciliation of effective tax rate

	FY 21	FY 20
	£000	£000
Profit for the year	6,000	7,187
Total tax expense	<u>-</u>	<u>-</u>
Profit excluding taxation	6,000	7,187
Tax using the UK corporation tax rate of 19% (FY 20: 19%)	1,140	1,366
Non-taxable income	<u>(1,140)</u>	<u>(1,366)</u>
Total tax expense	<u>-</u>	<u>-</u>

An increase in the UK corporation tax rate from 19% to 25% (effective 1 April 2023) was substantively enacted on 24 May 2021. This change will increase the Company's future tax charge accordingly, but is expected to have an immaterial impact on the Company's future profits.

7 Fixed asset investments

				Shares in Group undertakings £000	
At 31 March 2021 & 31 March 2020				33,752	
				Class and percentage of shares held - 31 March 2021	Class and percentage of shares held - 31 March 2020
Subsidiary undertakings	Country of Incorporation	Registered address	Principal activity		
Alpha Financial Markets Consulting Group Limited	UK	1	Intermediate holding company	100% ordinary	100% ordinary
Alpha Financial Markets Consulting UK Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Technology Services Consulting Limited	UK	1	Dormant	100% ordinary	100% ordinary
Alpha Data Solutions Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Inc.	USA	2	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting S.A.S.	France	3	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting S.A.	Luxembourg	4	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Netherlands B.V.	Netherlands	5	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Switzerland S.A.	Switzerland	6	Consultancy services	100% ordinary	100% ordinary
Track Two GmbH	Germany	7	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Singapore Pte. Limited	Singapore	8	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Hong Kong Limited	Hong Kong	9	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Australia PTY Limited	Australia	10	Consultancy services	100% ordinary	100% ordinary

Notes (continued)

7 Fixed asset investments (continued)

Subsidiary undertakings	Country of Incorporation	Registered address	Principal activity	Class and percentage of shares held - 31 March 2021	Class and percentage of shares held - 31 March 2020
Obsidian Solutions Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Technology Services Consulting S.A.S	France	3	Consultancy services	100% ordinary	100% ordinary
Obsidian Alpha Data Solutions LLC	Serbia	11	Consultancy services	100% ordinary	100% ordinary
Alpha FM Consulting Canada Inc	Canada	12	Consultancy services	100% ordinary	N/A
Axxsys Limited	UK	13	Consultancy services	100% ordinary	N/A
Axxsys Financial Software Consulting Canada Limited	Canada	13	Consultancy services	100% ordinary	N/A
Axxsys Consulting USA Inc	USA	14	Consultancy services	100% ordinary	N/A
Axxsys Danmark ApS	Denmark	15	Consultancy services	100% ordinary	N/A

Notes:

- 60 Gresham Street, London, EC2V 7BB
- 12 East 49th Street, New York, NY 10017, USA
- 6 Square de L'Opéra Louis Jouvet, 75009 Paris, France
- 19/21 Route d'Arlon – bloc B, L-8009 Strassen, Luxembourg
- Spaces Zuidas, Barbara Strozziilaan 101, 1083 HN, Amsterdam, The Netherlands
- Bleicherweg 10, 8002 Zürich, Switzerland
- Mergenthalerallee 73-75, 65760 Eschborn, Germany
- 6 Raffles Quay #16-01, Singapore 048580
- 22/F., Neich Tower, 128 Gloucester Road, Wanchai, Hong Kong
- 383-385 George Street, Sydney NSW 2000
- Belgrade, Serbia at Bulevar kralja Aleksandra no.52
- Suite 1700, Park Place, 666 Burrard Street, Vancouver, BC V6C2X8, Canada
- New Broad Street House, 35 New Broad Street, London, EC2M 1NH
- Incorp Services, Inc., One Commerce Center, 1201 Orange Street #600, Wilmington, Delaware 19899
- Flaeskøtøret 68, DK-1711 Copenhagen, V Denmark

Subsidiary undertakings	Share capital and reserves £'000	Profit/(loss) for the period £000
Alpha Financial Markets Consulting Group Limited	7,984	5,506
Alpha Financial Markets Consulting UK Limited	18,488	10,445
Alpha Technology Services Consulting Limited	-	-
Alpha Data Solutions Limited	(2,530)	(1,361)
Alpha Financial Markets Consulting Inc.	1,564	908
Alpha Financial Markets Consulting S.A.S.	8,862	1,545
Alpha Financial Markets Consulting S.A.	1,966	499
Alpha Financial Markets Consulting Netherlands B.V.	(839)	(471)
Alpha Financial Markets Consulting Switzerland S.A.	(216)	(162)
Track Two GmbH	(444)	(99)
Alpha Financial Markets Consulting Singapore Pte. Limited	1,253	235
Alpha Financial Markets Consulting Hong Kong Limited	(8)	2
Alpha Financial Markets Consulting Australia PTY Limited	340	309
Obsidian Solutions Limited	446	16
Alpha Technology Services Consulting S.A.S	37	(5)
Obsidian Alpha Data Solutions LLC	32	33
Alpha FM Consulting Canada Inc	247	243
Axxsys Limited	2,306	658
Axxsys Financial Software Consulting Canada Limited	240	11
Axxsys Consulting USA Inc	-	-
Axxsys Danmark ApS	2,234	1,260

8 Debtors

	FY 21 £000	FY 20 £000
Amounts owed by Group undertakings	1,114	1,114
Other debtors	69	69
	1,183	1,183

Amounts owed by Group undertakings are interest free and are repayable on demand.

Notes (continued)

8 Debtors (continued)

The Directors are satisfied that all outstanding amounts from subsidiary group undertakings are recoverable. Expected credit loss in relation to amounts owed by Group undertakings was immaterial in both the current and prior years.

Amounts owed by Group undertakings are interest free and are repayable on demand. The Company classifies all intercompany receivables that form a part of the normal trading cycle of the Company as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets. Of a total of £34,426,000 (FY 20: £28,426,000) of amounts owed by Group undertakings, the Company recognised £33,312,000 (FY 20: £27,312,000) within non-current assets and £1,114,000 (FY 20: £1,114,000) within current assets.

9 Creditors: amounts falling due within one year

	FY 21 £000	FY 20 £000
Amounts owed to Group undertakings	68,244	62,244
	<u>68,244</u>	<u>62,244</u>

Amounts owed to Group undertakings are either interest-bearing or non interest-bearing depending on the type of the creditor relationship and local regulatory requirements. At the balance sheet date the majority of these balances are non interest-bearing. All amounts owed to Group undertakings are repayable on demand.

The Group has no intention to request the repayment of amounts owed to other Group entities within the next twelve months.

10 Capital and reserves

Share capital

	FY 21 £	FY 20 £
<i>Allotted, called up and fully paid</i>		
1 ordinary shares of £1	1	1
	<u>1</u>	<u>1</u>
Shares classified in shareholders' funds	1	1
	<u>1</u>	<u>1</u>

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

Dividends

A dividend payment totalling £6,000,000 was made to the Company's sole shareholder, Alpha FMC Group Holdings Limited (FY 20: £7,187,000), to facilitate the payment of the Group dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting Plc, to its shareholders. This dividend was facilitated by the receipt in the year of a dividend totalling £6,000,000 from the Company's directly owned subsidiary, Alpha Financial Markets Consulting Group Limited. The Directors have not recommended the payment of a final dividend (FY 20: £nil).

11 Related parties

Identity of related parties with which the Company has transacted

The Company has not engaged in any transactions with any related parties other than with wholly owned subsidiaries. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS 101.

12 Ultimate parent company and parent company of larger Group

The Company is a subsidiary undertaking of Alpha Financial Markets Consulting Plc, incorporated in England and Wales. The ultimate controlling party is Alpha Financial Markets Consulting Plc.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting Plc, incorporated in England and Wales. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB, or the website investors.alphafmc.com.